growing population. For the same amount labour and capital employed in '**A**' grade land, the yield per acre on 'B' grade land is 30 bags of paddy. The surplus of 10 bags [40-30] per acre appears on 'A' grade land. This is "Economic Rent" of 'A' grade land.

Suppose yet another group of people goes and settles down in the same island. So the least fertile land (C grade) will have to be brought under cultivation. For the same amount of labour and capital, the yield per acre on 'C' grade land is 20 bags of paddy. This surplus of 'A' grade land is now raised to 20 bags [40-20], and it is the "Economic Rent" of 'A' grade land. The surplus of 'B' grade land is 10 bags [30-20]. This is the economic rent of 'B' grade land.

In the above illustration in 'C' grade land, cost of production is just equal to the price of its produce and therefore does not yield any rent (20 - 20). Hence, 'C' grade land is called "no-rent land or marginal land". Therefore, No-Rent Land or Marginal Land is the land in which cost of production is just equal to the price of its produce. The land which yields rent is called "intra–marginal land". Therefore, rent indicates the differential advantage of the superior land over the marginal land.

Table 6.1 Ricardian Theory of Rent

Grades of Lands	*Production (in bags)*	*Surplus (i.e., Rent in bags)*
A	40	40-20=20
B	30	30-20= 10
C	20	20-20= 0

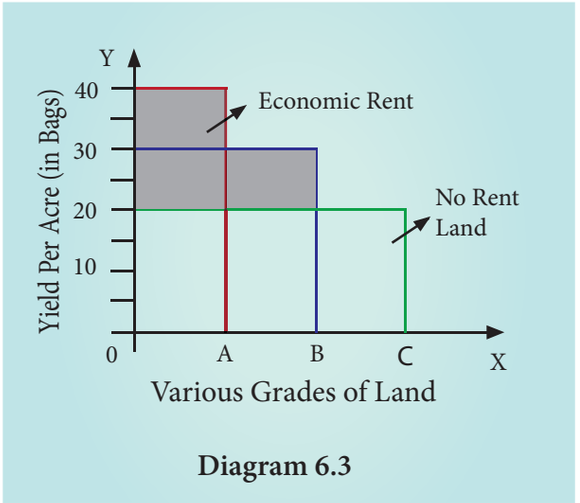


Diagram 6.3

Diagrammatic Explanation

In diagram 6.3, X axis represents various grades of land and Y axis represents yield per acre (in bags). OA, AB and BC are the 'A' grade, 'B' grade and 'C' grade lands respectively. The application of equal amount of labour and capital on each of them gives a yield represented by the rectangles standing just above the respective bases. The 'C' grade land is the "no–rent land" 'A' and 'B' grade lands are "intra–marginal lands". The economic rent yielded by 'A' and 'B' grade lands is equal to the shaded area of their respective rectangles.

Criticisms

Following are the limitations of Ricardian theory of rent.

1. The order of cultivation from most fertile to least fertile lands is historically wrong.
2. This theory assumes that, rent does not enter into price. But in reality, rent enters into price.

Chapter-06.indd 126 06-02-2020 16:18:36